



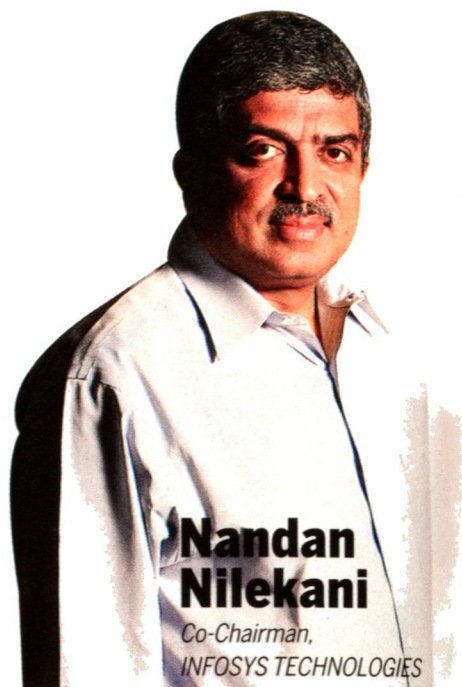
QA



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Is the rise in markets and faint glimmer of feelgood factor for real or an illusion?

It is not just a glimmer, it is a real ray. Most of our clients can sense the feelgood factor and clearly see a turnaround. Sure there are some sectors in trouble—real estate, textiles and exports—but again, the rural economy and core sectors are doing well.

Can we say the worst is over for India?

Very clearly the worst is over for India. The worst is behind us. The evidence is the feelgood factor and business confidence.

Can the revival of growth in India be decoupled from global horror stories?

Well, almost. There is a deep transformational change in India as with Japan in the '80s and China in the '90s. But we will always be coupled in terms of finance and exchange rates.

When do you expect the Indian economy to turn around?

I would think we should have recorded a growth of 7 per cent in the just ended year. I would think we are on an upturn and should notch 8 per cent next year. The last two quarters represented the bottom.

Are there any signs you would watch out for to signal the return of growth?

More corporates are saying they are in better shape. Business confidence is high. In terms of anecdotal evidence, real estate is already picking up in Mumbai, car sales are up, so are those of two-wheelers and commercial vehicles.

The arrival of a stable government in Delhi has definitely enhanced confidence in the future and hence we can say "stability is the best stimulus".

Global conditions have led to challenges like slack exports, lack of liquidity and capital flows. India is better placed overall but must tackle high deficit and fall in revenues.

There cannot be a total decoupling but quick, smart and decisive action could definitely put India on the growth path.

No idea.

Demand in the job market and increasing signs of bank lending.

3 STEPS THE GOVERNMENT MUST TAKE

- Accelerate reforms and disinvestment process.
- Cover the large deficit through resource raising via disinvestment.
- Given global weakness, be cautious in opening up the financial sector.

- Quickly implement long-standing reforms—in pensions, corporate bond markets, insurance.
- Start a sizeable plan for disinvestment.
- Deregulate education to reap the demographic dividend.